

Rule Two: When buying a term cover, check the claims experience of the insurance firm. Shortlist three or four policies that you like in terms of low prices for your age, cover and tenure, and then start looking at the claims experience. This is not so easy to find. A claims experience of over 95 per cent is fine. This means that the company pays 95 per cent of the claims filed. Do a simple google search on this metric to see which firms show up.

Are private companies safe? I've been asked this almost each time I've spoken about insurance in my public talks. What do we mean by 'safe'? Will they run away with our money? No, they won't. We have a regulator in place that sets the rules of the game. These rules say that any insurance company needs to have enough money to be solvent. Will the insurance company be around twenty years later? Well, some of them have already been in the business for the last fifteen years and will be around in the future as well. If a company wants to get out of the insurance business, it will sell its shares to another company or get taken over. So, yes, it is safe to buy a term plan from any company with a claims experience of at least 95 per cent.

Have a plan

You need to have a plan for the people left behind. Imagine this: Your spouse, who is not an active participant in the financial decisions, is suddenly hit with the trauma of you copping it early and a large lump sum hitting the bank. You need to have a plan in place that will guide her (I use 'her' deliberately because mostly it is the men who handle finances in an Indian home – mine is the exception where I worry about financial planning in the house). Let's talk about this in more detail in the chapter on wills.

When do I not need a life cover?

If you have no dependants on your income, you don't need any life insurance cover. Let me repeat that. If there will be nobody to miss your income – *do not* buy a life insurance cover. There is one more situation in which you don't need a cover – when you are financially free. When are you financially free?